

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 2366

By: Hill

AS INTRODUCED

An Act relating to revenue and taxation; creating income tax credit for certain persons engaged in biomanufacturing sector; defining terms; providing credit to be claimed in nonconsecutive tax years; prohibiting credit to reduce liability to less than zero; providing carryover; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2357.305 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. As used in this act:

1. "Biomanufacturing sector" means a private or public organization located in this state and engaged in the manufacture of biopharmaceuticals, medical devices, diagnostics, industrial biotechnology, tissue engineering, synthetic biology, supply of parts to the biomanufacturing industry, provision of services and support relating to the biomanufacturing industry, research and

1 development of biomanufacturing technology and systems and the
2 education and training of biomanufacturing personnel;

3 2. "Compensation" means payments in the form of contract labor
4 for which the payor is required to provide a Form 1099 to the person
5 paid, wages subject to withholding tax paid to a part-time employee
6 or full-time employee or salary or other remuneration. Compensation
7 shall not include employer-provided retirement, medical or health
8 care benefits, reimbursement for travel, meals, lodging or any other
9 expense;

10 3. "Institution" means an institution within The Oklahoma State
11 System of Higher Education or any other public or private college or
12 university that is accredited by a national accrediting body;

13 4. "Qualified employee" means any person, regardless of the
14 date of hire, employed in this state by or contracting in this state
15 with a qualified employer on or after January 1, 2026, who was not
16 employed in the biomanufacturing sector in this state immediately
17 preceding employment or contracting with a qualified employer, and
18 who has been either:

- 19 a. awarded an undergraduate or graduate degree from a
20 qualified program by an institution, or
21 b. licensed as a Professional Engineer by the State Board
22 of Licensure for Professional Engineers and Land
23 Surveyors pursuant to Section 475.15 of Title 59 of
24 the Oklahoma Statutes.

1 Provided, the definition shall not be interpreted to exclude any
2 person who was employed in the biomanufacturing sector, but not as a
3 full-time engineer, prior to being awarded an undergraduate or
4 graduate degree from a qualified program by an institution or any
5 person who has been awarded an undergraduate or graduate degree from
6 a qualified program by an institution and is employed by a
7 professional staffing company and assigned to work in the
8 biomanufacturing sector in this state.

9 Beginning on or after January 1, 2026, the definition shall also
10 not be interpreted to exclude any person (1) who previously
11 qualified and established the credit against the tax imposed
12 pursuant to Section 2355 of Title 68 of the Oklahoma Statutes and
13 becomes employed by a different qualified employer, or (2) who
14 establishes the credit against the tax imposed pursuant to Section
15 2355 of Title 68 of the Oklahoma Statutes for the first time and
16 becomes employed by a different qualified employer in subsequent
17 years, provided a person in either case has not claimed the credit
18 for the lifetime maximum of five (5) years;

19 5. "Qualified employer" means a sole proprietor, general
20 partnership, limited partnership, limited liability company,
21 corporation, other legally recognized business entity or public
22 entity whose principal business activity involves the
23 biomanufacturing sector; and
24

1 6. "Qualified program" means a program at an institution that
2 includes a graduate or undergraduate program that has been
3 accredited by the Engineering Accreditation Commission of the
4 Accreditation Board for Engineering and Technology (ABET) and that
5 awards an undergraduate or graduate degree. Both the undergraduate
6 and graduate programs of the same discipline of engineering at an
7 institution shall be part of the qualified program if either program
8 is ABET accredited.

9 B. 1. Except as provided in subsection D of this section, for
10 taxable years beginning after December 31, 2025, a qualified
11 employee shall be allowed a credit against the tax imposed pursuant
12 to Section 2355 of Title 68 of the Oklahoma Statutes of up to Five
13 Thousand Dollars (\$5,000.00) per tax year for a period of time not
14 to exceed five (5) years during the lifetime of the qualified
15 employee. This credit may be claimed in nonconsecutive tax years.

16 2. The credit authorized by this section shall not be used to
17 reduce the tax liability of the taxpayer to less than zero (0).

18 3. Any credit claimed, but not used, may be carried over, in
19 order, to each of the five (5) subsequent taxable years.

20 SECTION 2. This act shall become effective November 1, 2025.

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